Las Vegas Sands Corp. (: LVS)

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Q3 2026 Earnings — Analyst Brief · Released 21 Oct 2026 (after US close) · Currency USD (tables in $ millions unless stated)

Shares closed at $37.51 on 21 Oct (-1.75% pre-print), fell ~2.2% to $36.70 after hours, then hit a new 52-week low of $35.03 intraday on 22 Oct (-6.6% vs prior close; 52-week high $70.45) before recovering to ~$37.09 by mid-session. Official 22 Oct closing level [unverified]. Market cap ~$24bn.

THE ONE-LINE VERDICT

A clean miss driven by the high end not showing up in either Singapore or Macao: net revenue -3.5% YoY to $3.22bn and adj. property EBITDA -16.7% to $1.12bn, ~13-14% below consensus on a hold-adjusted basis, with group margin -555bps to 34.8% as Macao opex was held flat sequentially into weaker premium spend and MBS mass hold collapsed to 18.7%. Management is doubling down rather than retrenching — $950m of buybacks (19% of the share count retired in 12 quarters), a 20% dividend hike for 2027, and no cuts to the Macao opex base or the $8bn MBS expansion — so the equity case is now a bet on the premium customer returning before leverage and payout optics become a constraint.

NET REVENUE	ADJ. PROPERTY EBITDA	ADJ. PROPERTY EBITDA MARGIN	GAAP DILUTED EPS	SHARE BUYBACK IN QUARTER	MACAO MASS GGR SHARE
$3,216m	**$1,119m**	**34.8%**	**$0.48**	**$950m**	**26.1%**
-3.5% YoY / +2.0% QoQ	-16.7% YoY / flat QoQ	-555bps YoY / -68bps QoQ	-21.3% YoY (adj. EPS $0.54, -30.8%)	~21m shares at $45.31; 19.0% of shares retired since Q4-23	Highest since Q4-23 (mgmt figure)

1 EXECUTIVE SUMMARY

- **Headline miss on both lines.** Q3-26 net revenue $3,216m (-3.5% YoY, +2.0% QoQ) vs Street ~$3.33-3.35bn; adj. EPS $0.54 vs consensus ~$0.68-0.71 (Zacks $0.71, MarketBeat $0.68); GAAP diluted EPS $0.48 vs $0.61. Consolidated adj. property EBITDA $1,119m (-16.7% YoY, flat QoQ) vs prior-year $1,344m.
- **The miss is almost entirely the high end, in both markets.** Management's own framing: premium/VIP patrons visited less frequently in July and September in Singapore and across the premium mass tier in Macao; the quarter was labelled 'aberrational'. No single cause was offered — the World Cup final (19 Jul), general macro uncertainty and (unanswered) questions about Chinese offshore-wealth/tax enforcement were all cited by analysts.
- **Which division drove it: MBS.** Marina Bay Sands EBITDA fell $153m YoY (-20.6%) to $590m on revenue -9.9% to $1,294m; Macao EBITDA fell $72m (-12.0%) to $529m despite revenue +1.8% to $1,940m. JPM put MBS hold-adjusted EBITDA ($594m) 13-14% below the bank/consensus range of $680-685m — that is the bulk of the group shortfall.
- **Hold was a genuine headwind but not the whole story.** Company-reported rolling-chip hold adjustment was only -$7m to group EBITDA (Macao -$11m, MBS +$4m), so hold-adjusted EBITDA was $1,112m vs $1,299m in Q3-25 (-14.4%). The bigger swing is mass hold, which the company does NOT adjust: MBS non-rolling win 18.7% (vs 24.5% Q3-25, 22.9% Q2-26) and Londoner 18.6% (vs 23.4%). At a 22-23% normalised MBS mass hold, our estimate is ~$95-120m of additional gross win.
- **Volumes in Macao were strong — this is a spend-per-head and cost problem, not a traffic problem.** Rolling volume +31% YoY to $5.74bn (our aggregation of property data), non-rolling drop +11% to $7.18bn, slot/ETG handle +26% to $6.60bn; patron count up double digits, property visitation up high single digits; slot/ETG revenue +18% vs a +9% market; retail tenant sales +10%. Mass GGR share 26.1%, the best since Q4-23 — but Macao mass table gross win still fell ~2% YoY on hold.
- **Opex is the structural issue in Macao.** Group resort-operations expense +5.3% YoY to $2,103m (65.4% of revenue vs 60.0%) while revenue fell. Macao has added table hours, gaming/sales/hospitality headcount over the past year; management says fixed costs are now flat sequentially and headcount will not rise materially, but explicitly refused to cut — the hires are framed as pre-investment for the renovated product. Macao margin 27.3% (-426bps YoY, +325bps QoQ off a hold-hit Q2).
- **MBS non-gaming remains the quality part of the print.** Rooms +5.2%, F&B +9.5%, ADR +5.7% to $1,038, RevPAR +6.1% to $994 at 95.8% occupancy; non-gaming revenue +5.3% YoY to $378m. Casino revenue -14.9% to $916m did the damage. Management reiterated an unchanged $2.7-2.8bn annual EBITDA run-rate for MBS (c.$675-700m/qtr) — Q3 was $590m.
- **Macao target reiterated: $700m quarterly EBITDA 'and more over time'.** Q3 was $529m; the 9M-26 run-rate is $531m/qtr. The bridge relies on Venetian renovation completion (CNY 2028; ~400 rooms out in Q3, ~500 through Q4-27; ~600 renovated rooms already back), Conrad-to-Londoner rebrand, and market GGR recovery after what management called several months of contracting market GGR.
- **Capital returns stepped up hard into a falling share price.** $950m repurchased (~21m shares at $45.31) vs $787m in Q2 and $5.06bn still authorised under the $6bn July programme; cumulative 145m shares (19.0%) for $6.98bn at $48.03 since Q4-23. Dividend held at $0.30 for Q4-26, raised 20% to $0.36/qtr ($1.44/yr) from Q1-27. A further 62m SCL shares bought for HKD793m (~$101m), lifting ownership to 75.56%.
- **Balance sheet absorbing the payout.** Unrestricted cash $2.86bn (from $3.38bn at Q2) and gross debt $15.30bn (from $15.11bn); net debt ~$12.44bn, up ~$0.7bn QoQ. On annualised 9M-26 adj. property EBITDA (~$4.88bn, our estimate) gross leverage is ~3.1x and net ~2.5x, at the top of the stated 2-3x gross target (which excludes development debt). Liquidity: $4.27bn of revolvers plus a $4.57bn delayed-draw term loan ring-fenced for the MBS expansion.
- **Cash flow (our estimate, 10-Q not reviewed):** Q3 EBITDA $1,119m less interest ~$186m, cash taxes ~$100m, corporate ~$88m and capex $281m implies ~$460m of pre-minority free cash flow versus ~$1.24bn returned (buybacks $950m, dividend ~$192m, SCL purchases ~$101m) — consistent with the $520m cash decline and $190m debt increase. Buybacks are running at roughly 2x FCF.
- **Capex and the MBS expansion.** Q3 capex $281m (Macao $154m, MBS $121m, corporate $6m). The MBS expansion is quantified at $8bn

including ~$2bn of land premium, with a ~15,000-seat arena, opening targeted early 2031 subject to approvals; a 'good portion' of construction cost is locked, with fit-out still exposed to inflation. Macao maintenance capex is guided at ~$300m/yr against $750-800m of D&A; 2027 Macao development capex covers the Venetian, the Conrad rebrand and an accelerated botanic-garden concession commitment.

- **Tax and below-the-line drag.** Effective tax rate 22.5% (vs 15.6%), driven by the 17% Singapore statutory rate on a larger MBS share of profit and lower Macao contribution; interest income fell to $23m from $39m on lower cash; interest expense flat at $186m with a 4.7% average cost. Net income $352m (-28.3%), attributable $304m (-27.4%). Diluted shares -6.6% YoY to 640m cushioned EPS.
- **Sands China (SCL):** GAAP net revenue +1.4% to $1.93bn, net income -29.8% to $191m. SCL minorities absorbed $48m of group net income (vs $72m).
- **9M-26 is still ahead on revenue but behind on profit.** Revenue $9,955m (+6.3%), operating income $2,140m (+1.4%), adj. property EBITDA $3,659m (-4.2%), GAAP EPS $1.86 (+5.1%, share-count driven), adj. EPS $2.04 (-5.1%). Macao 9M revenue +8.0% with EBITDA -6.5%; MBS 9M revenue +4.4% with EBITDA -2.3%.
- **No formal guidance; sell-side reset.** JPM cut Q4-26 adj. property EBITDA 4% to $1.26bn and 2027/2028 by ~2% to $5.06bn/$5.15bn; BofA (Neutral) cut its PT to $45 from $50, Mizuho (Outperform) to $54 from $61, Barclays (Overweight) to $50, JPM to $54. October was flagged on the call as potentially a fifth consecutive month of YoY Macao market GGR decline (analyst assertion, not company data).
- **Strategy and M&A.** Management ruled out M&A ('interested in buying more of our company'), dismissed take-private speculation, and said reinvestment (promo) in Macao is being optimised lower sequentially while gaining share; competitive intensity is unchanged with no escalation seen. NBA Games Week year two in October was described as more successful than 2025, financials to come in January.
- **Thesis read-through.** Volume share gains, rising SCL ownership and shrinking share count are real. But the quarter exposes the gearing of the model to a thin cohort of super-premium players in two buildings, into which the company is layering a higher fixed-cost base and an $8bn project. Until the premium customer visibly returns (Q4 seasonality plus Golden Week/NBA week is the first test), the equity is a leverage-tolerant buyback story rather than an earnings-growth story.

2 GROUP FINANCIAL SUMMARY

US $M (GAAP UNLESS STATED)	Q3-26	QOQ	YOY	9M-26	9M YOY
REVENUE BY SEGMENT					
Macao Operations (SCL)	1,940	+8.4%	+1.8%	5,844	+8.0%
Marina Bay Sands (Singapore)	1,294	-6.2%	-9.9%	4,161	+4.4%
Intercompany royalties	74	-10.8%	-7.5%	244	+17.3%
Intersegment eliminations	(92)	n/m	n/m	(294)	n/m
Net revenue	**3,216**	**+2.0%**	**-3.5%**	**9,955**	**+6.3%**
REVENUE BY PRODUCT					
Casino	2,370	+1.2%	-5.4%	7,450	+5.7%
Rooms	376	+4.7%	+0.5%	1,112	+6.6%
Food & beverage	176	+4.8%	+6.7%	520	+14.8%
Mall	202	+2.0%	+1.5%	604	+5.6%
Convention, retail & other	92	+4.5%	+5.7%	269	+6.7%
ADJ. PROPERTY EBITDA (NON-GAAP)					
Macao Operations	529	+23.0%	-12.0%	1,592	-6.5%
Marina Bay Sands	590	-14.4%	-20.6%	2,067	-2.3%
Consolidated adj. property EBITDA	**1,119**	**0.0%**	**-16.7%**	**3,659**	**-4.2%**
Adj. property EBITDA margin	34.8%	-68bps	-555bps	36.8%	-400bps
Hold-adjusted adj. property EBITDA (est., rolling only) Company-disclosed rolling-chip hold adjustment: Q3-26 -$7m (Macao -$11m, MBS +$4m); Q3-25 -$45m; Q2-26 +$50m. Mass hold is not adjusted.	1,112	-4.9%	-14.4%	n/a	n/a
Resort operations expense	2,103	+3.0%	+5.3%	6,311	+13.4%
Corporate expense	88	+18.9%	+12.8%	245	+11.4%
Operating income (GAAP)	**618**	**0.0%**	**-14.0%**	**2,140**	**+1.4%**
Net income (GAAP)	352	-5.6%	-28.3%	1,366	-3.7%
Net income attributable to LVS	304	-12.1%	-27.4%	1,217	-1.2%
Adj. net income attributable to LVS (non-GAAP)	343	-10.7%	-36.0%	1,339	-11.0%
GAAP diluted EPS ($)	**0.48**	**-9.4%**	**-21.3%**	**1.86**	**+5.1%**
Adjusted diluted EPS ($, non-GAAP)	0.54	-8.5%	-30.8%	2.04	-5.1%
Diluted shares (m)	640	-2.4%	-6.6%	655	-6.2%
Effective tax rate	22.5%	+340bps	+690bps	17.9%	n/a
GROUP KPIS					
Macao mass GGR share (mgmt)	26.1%	n/a	n/a	n/a	n/a
Macao rolling volume (sum of properties)	5,739	-24.2%	+31.4%	n/a	n/a
Macao non-rolling drop (sum of properties)	7,183	-0.1%	+10.6%	n/a	n/a
Macao slot handle (sum of properties)	6,595	+2.2%	+26.4%	n/a	n/a
CASH FLOW & CAPITAL					
Capital expenditure Q3-26: Macao $154m, MBS $121m, corporate $6m. Q2-26: $332m.	281	-15.4%	n/a	n/a	n/a
Operating cash flow / FCF Not disclosed in the release; 10-Q not reviewed. Our estimate of pre-minority FCF ~$460m (EBITDA less interest, cash tax, corporate, capex).	n/a	n/a	n/a	n/a	n/a
Share repurchases ~21m shares at $45.31; $5.06bn authorisation remaining.	950	+20.7%	n/a	n/a	n/a
Unrestricted cash	2,860	-15.4%	n/a	n/a	n/a
Gross debt (ex finance leases)	15,300	+1.3%	n/a	n/a	n/a
Net debt (est.)	12,440	+6.1%	n/a	n/a	n/a
Gross / net leverage (est., annualised 9M-26 EBITDA) Our estimate. Management target: ~2-3x gross, before development-related debt.	~3.1x / ~2.5x	n/a	n/a	n/a	n/a

3 SEGMENT DEEP-DIVE — MACAO OPERATIONS (SANDS CHINA LTD, 75.56% OWNED)

Volumes and share up strongly, but hold at the Londoner and a fixed-cost base built for a bigger market pulled EBITDA -12% YoY to $529m; the $700m quarterly target is now a 2028 story.

HEADLINE RESULTS

Net revenue grew 1.8% YoY to $1,940m but adjusted property EBITDA fell 12.0% to $529m; the $700m quarterly target is now a 2028 story.

- Net revenue +8.4% QoQ off a hold-hit Q2; margin compressed 426bps to 27.3% (+325bps sequentially).
- Rolling-chip hold slightly above the 3.3% expectation; hold-adjusted EBITDA would have been $11m lower at $518m versus $599m hold-adjusted in Q3-25.
- Sands China GAAP basis: net revenue +1.4% to $1.93bn, net income -29.8% to $191m.
- Casino revenue across five properties $1,454m, +1.7% YoY and +10.4% QoQ; non-gaming revenue (ex ferry) broadly flat at ~$448m.

VOLUMES AND SHARE

Volumes and share rose strongly, but mass-table gross win still fell ~2% YoY to ~$1.47bn because Londoner hold dropped to 18.6% from 23.4%.

- Rolling volume +31% YoY to $5.74bn (our sum; -24% QoQ as Plaza/Four Seasons VIP normalised from $2.8bn Q2); non-rolling drop +11% to $7.18bn; slot/ETG handle +26% to $6.60bn.
- Mass GGR share 26.1%, strongest since Q4-23; patron count up double digits, visitation high single digits; slot/ETG revenue +18% versus market +9%.
- Retail tenant sales +10% YoY despite a weak China consumption backdrop.
- Management attributed Londoner hold to playing unlucky against the super-high end of premium mass, captured this quarter for the first time in a while.
- Share gains are being bought at the top of the mass pyramid, where hold volatility is highest and the customer base thinned in the quarter.

PROPERTY PERFORMANCE

Londoner EBITDA fell 18.7% to $178m on low hold despite strong volumes; Venetian down mid-renovation; Plaza, Parisian and Sands Macao grew revenue.

- Londoner: revenue flat at $685m, margin 26.0% (-590bps); rolling volume +39% to $3.22bn, non-rolling drop +24% to $2.80bn; normal ~21-22% hold would have added ~$70-95m gross win (our estimate).
- Venetian: ~400 rooms out (rising to ~500 through Q4-27); revenue -6.2% to $649m, EBITDA -15.3% to $205m (31.6% margin); tables 629 from 657, slots 1,410 from 1,660; full reintroduction targeted Chinese New Year 2028.
- Plaza/Four Seasons: revenue +15.5% to $238m, EBITDA +14.9% to $85m (35.7% margin), RevPAR +6% to $485.
- Parisian: revenue +6% to $231m on slot handle +39%, EBITDA -13% to $46m (19.9% margin, -440bps); Sands Macao revenue +37.5% to $99m, EBITDA $14m, slot handle more than doubled to $1.57bn.
- Hotel metrics firm: occupancy 96-99%, Londoner RevPAR $257 (+$4), Venetian $197 flat.

COST BASE

The fixed-cost base built for a bigger market is the bear point and management will not cut it; headcount will not rise meaningfully next year.

- Over the past year added table operating hours, gaming, sales/marketing and hospitality headcount and raised service levels.
- Grant Chum: step-up now embedded in Q2 and Q3, fixed costs essentially flat sequentially, headcount growth limited to cost-of-living inflation next year.
- Patrick Dumont: focus is on investing for growth, not cutting newly hired staff being trained ahead of renovated product.
- Market reinvestment intensity unchanged with no escalation; Sands has optimised its programme lower since Q1 while gaining share; competitors reportedly fine-tuning as industry margins are lower.

OUTLOOK

The $700m quarterly EBITDA goal was reiterated but depends on 2028 projects; we model Q4-26 EBITDA at $560-600m, still ~$100m+ below target.

- Target contingent on Venetian refresh (CNY 2028), Conrad-to-Londoner rebrand and accelerated botanic-garden concession project; ~$300m/yr maintenance capex against $750-800m D&A.
- Q4 seasonally stronger on October Golden Week, extended by NBA Games Week year two, described as more successful than 2025 across resort, fan zone and MICE.
- Company conceded several months of contracting market GGR and would not forecast seasonality against that; World Cup drag sharper in June/July than August/September.
- Track the 26.1% share print for evidence the opex investment is paying back.

> *"and more over time"* — **Management**

MACAO OPERATIONS, US $M	Q3-26	QOQ	YOY	9M-26	9M YOY
NET REVENUE BY PROPERTY					
The Venetian Macao	649	+9.8%	-6.2%	1,950	-2.2%
The Londoner Macao	685	-3.5%	-0.1%	2,149	+15.7%
The Parisian Macao	231	+6.0%	+6.0%	678	+6.1%
The Plaza / Four Seasons Macao	238	+73.7%	+15.5%	665	+9.4%
Sands Macao	99	+4.2%	+37.5%	287	+31.7%
Ferry operations & other	38	-2.6%	+18.8%	115	+18.6%
Macao net revenue	**1,940**	**+8.4%**	**+1.8%**	**5,844**	**+8.0%**
of which casino revenue (sum of properties)	1,454	+10.4%	+1.7%	n/a	n/a
ADJ. PROPERTY EBITDA BY PROPERTY					
The Venetian Macao	205	+24.2%	-15.3%	608	-13.5%
The Londoner Macao	178	-7.3%	-18.7%	593	+2.8%
The Parisian Macao	46	+21.1%	-13.2%	130	-20.2%
The Plaza / Four Seasons Macao	85	+325%	+14.9%	219	+2.3%
Sands Macao	14	+27.3%	+75.0%	34	+25.9%
Ferry operations & other	1	-75.0%	-80.0%	8	-55.6%
Macao adj. property EBITDA	**529**	**+23.0%**	**-12.0%**	**1,592**	**-6.5%**
Macao EBITDA margin	27.3%	+325bps	-426bps	27.2%	-421bps
Hold-adjusted EBITDA (rolling, co. disclosed) Q3-26 adj. -$11m; Q2-26 +$87m (517); Q3-25 -$2m (599).	518	+0.2%	-13.5%	n/a	n/a
GAMING VOLUMES (SUM OF PROPERTIES)					
Rolling chip volume	5,739	-24.2%	+31.4%	n/a	n/a
Non-rolling chip drop	7,183	-0.1%	+10.6%	n/a	n/a
Slot handle	6,595	+2.2%	+26.4%	n/a	n/a
Mass table gross win (drop × hold, est.)	~1,469	+0.2%	-2.1%	n/a	n/a
Slot gross win (handle × hold, est.)	~223	+0.7%	+17.9%	n/a	n/a
HOLD BY PROPERTY					
Venetian RC win % / NR win %	3.97% / 22.4%	+335bps / +200bps	-190bps / -120bps	n/a	n/a
Londoner RC win % / NR win %	3.43% / 18.6%	-24bps / -220bps	-22bps / -480bps	n/a	n/a
Plaza/FS RC win % / NR win %	3.76% / 22.2%	+491bps / +60bps	+192bps / -350bps	n/a	n/a
Parisian NR win % / slot hold	22.5% / 3.7%	+90bps / +40bps	+100bps / +10bps	n/a	n/a
HOTEL					
Venetian occupancy / ADR / RevPAR ~400 rooms out of service in Q3; ~500 on average through Q4-27 for renovation.	98.3% / $200 / $197	+10bps / +$3 / +$3	+30bps / $0 / +$1	n/a	n/a
Londoner occupancy / ADR / RevPAR	97.5% / $264 / $257	+80bps / +$2 / +$3	+110bps / +$2 / +$4	n/a	n/a
Plaza/FS occupancy / ADR / RevPAR	96.1% / $504 / $485	+100bps / -$3 / +$3	+350bps / +$11 / +$29	n/a	n/a
OTHER					
Macao mass GGR share (mgmt)	26.1%	n/a	n/a	n/a	n/a
Cotai mall gross revenue / op. margin	131 / 87.0%	n/a	n/a	n/a	n/a
Capex (Macao)	154	+79.1%	n/a	n/a	n/a
SCL net income (GAAP)	191	+78.5%	-29.8%	n/a	n/a
LVS ownership of SCL	75.56%	n/a	n/a	n/a	n/a

4 SEGMENT DEEP-DIVE — MARINA BAY SANDS (SINGAPORE)

> **Revenue -9.9% and EBITDA -20.6% to $590m as super-premium visitation fell in July/September and mass hold dropped to 18.7%; non-gaming and volumes held up, and the $2.7-2.8bn run-rate was reiterated.**

HEADLINE RESULTS

Net revenue fell 9.9% YoY to $1,294m and adjusted property EBITDA 20.6% to $590m as mass hold dropped to 18.7%; the $2.7-2.8bn run-rate was reiterated.

- Revenue -6.2% QoQ; EBITDA -14.4% QoQ; margin 45.6%, down 615bps YoY and 433bps sequentially.
- Rolling hold 4.53% marginally below the newly raised 4.6% theoretical; hold-adjusted EBITDA $594m versus $700m in Q3-25 (4.84% win against 4.2% theoretical) and $726m in Q2-26.
- Theoretical rolling hold lifted to 4.6% from 4.2%, flattering the comparison; on the old 4.2% basis Q3-26 rolling play would have been 'lucky', not unlucky.
- Casino revenue -14.9% to $916m; every non-gaming line grew.

VOLUMES AND HOLD

Volumes were not the problem; mass hold of 18.7% versus 24.5% in Q3-25 cut mass-table gross win 14% to ~$537m on 13% more drop.

- Rolling volume $8.43bn, -7.1% YoY and -9.1% QoQ, still third-highest quarter in recent history; non-rolling drop +12.6% to $2.87bn; slot handle +2.1% to $6.54bn.
- Mass hold of 22-23% would have added ~$95-120m gross win (estimate); at ~70-75% flow-through EBITDA would have been close to the $675-700m quarterly run-rate.
- Rolling gross win -13% to ~$382m on lower volume; slot win ~$288m, +2%.

HIGH-END VISITATION

Management said highest-value patrons visited less in July and September and called the quarter aberrational, maintaining the $2.7-2.8bn annual EBITDA view.

- World Cup final, broad macro uncertainty and unspecified sentiment factors cited; side-bet product adds hold volatility in both directions.
- Catchment is Southeast Asia (Indonesia, Malaysia, Thailand, Vietnam, Korea, Japan), so overlap with Macao premium customers is limited, yet sentiment weakened in both simultaneously, unexplained by management.
- A fuller Q4 will tell whether this was timing or a cohort issue in a casino concentrated in a small number of very high-value players.

> *"the door swings both ways"* — **Management**

NON-GAMING

Non-gaming revenue grew 5.3% YoY to $378m with RevPAR up 6.1% to $994, showing the suite programme continues to price up.

- Rooms +5.2% to $162m, F&B +9.5% to $104m, mall +1.4% to $70m, convention/other +2.4% to $42m; non-gaming +6.2% QoQ.
- ADR +5.7% to $1,038 at 95.8% occupancy; 2023-25 suite programme expanded from 132 to ~770 suites.
- Shoppes at MBS: $70m gross revenue, 88.6% operating margin, 99.5% occupancy, $3,318 tenant sales per sq ft.
- MBS capex $121m in the quarter versus $215m in Q2.

EXPANSION AND OUTLOOK

The $8bn expansion targets early 2031 opening, but this quarter shows returns depend on visit frequency of a few hundred customers; we model Q4-26 EBITDA at $640-680m.

- Budget $8bn including ~$2bn land premium; ~15,000-seat arena, new tower with wellness/residential feel for younger super-premium cohort; subject to approvals.
- Good portion of construction cost locked, but fit-out exposed to inflation; management cautious.
- Funded via dedicated $4.57bn delayed-draw term loan outside the 2-3x gross leverage target.
- Management argues peak-period capacity already constrains its top tier.
- Q4-26 estimate assumes mass hold normalises toward 22-23% and partial return of high-end visitation.

MARINA BAY SANDS, US $M	Q3-26	QOQ	YOY	9M-26	9M YOY
REVENUE					
Casino	916	-10.5%	-14.9%	n/a	n/a
Rooms	162	+7.3%	+5.2%	n/a	n/a
Food & beverage	104	+6.1%	+9.5%	n/a	n/a
Mall	70	+4.5%	+1.4%	n/a	n/a
Convention, retail & other	42	+5.0%	+2.4%	n/a	n/a
Non-gaming revenue (sum)	378	+6.2%	+5.3%	n/a	n/a
MBS net revenue	**1,294**	**-6.2%**	**-9.9%**	**4,161**	**+4.4%**
PROFITABILITY					
Adj. property EBITDA	**590**	**-14.4%**	**-20.6%**	**2,067**	**-2.3%**
EBITDA margin	45.6%	-433bps	-615bps	49.7%	-340bps
Hold-adjusted EBITDA (rolling, co. disclosed) Q3-26 adj. +$4m vs 4.6% theoretical; Q2-26 -$37m vs 4.2% (726); Q3-25 -$43m vs 4.2% (700). Theoretical raised to 4.6% in Q3-26.	594	-18.2%	-15.1%	n/a	n/a
GAMING VOLUMES & HOLD					
Rolling chip volume	8,429	-9.1%	-7.1%	n/a	n/a
Rolling chip win % (theoretical 4.6%)	4.53%	-21bps	-31bps	n/a	n/a
Non-rolling chip drop	2,874	+10.7%	+12.6%	n/a	n/a
Non-rolling chip win %	18.7%	-420bps	-580bps	n/a	n/a
Slot handle	6,539	+2.5%	+2.1%	n/a	n/a
Slot hold %	4.4%	-20bps	0bps	n/a	n/a
Rolling gross win (vol × hold, est.)	~382	-13.1%	-13.0%	n/a	n/a
Mass table gross win (drop × hold, est.)	~537	-9.6%	-14.0%	n/a	n/a
Slot gross win (handle × hold, est.)	~288	-2.0%	+2.1%	n/a	n/a
Table games win/unit/day ($)	17,920	n/a	-16.2%	20,965	+6.1%
Slot win/unit/day ($)	1,069	n/a	+4.1%	1,056	+5.3%
Avg tables / slots	557 / 2,940	n/a	+16 / -21	563 / 2,956	+22 / -17
HOTEL					
Occupancy	95.8%	+20bps	+30bps	n/a	n/a
ADR ($)	1,038	+5.7%	+5.7%	n/a	n/a
RevPAR ($)	994	+5.9%	+6.1%	n/a	n/a
RETAIL & CAPEX					
Shoppes at MBS gross revenue / op. margin	70 / 88.6%	n/a	n/a	n/a	n/a
Shoppes at MBS occupancy / tenant sales psf (TTM)	99.5% / $3,318	n/a	n/a	n/a	n/a
Capex (MBS)	121	-43.7%	n/a	n/a	n/a
MBS expansion budget / opening	$8bn (incl. ~$2bn land premium) / early 2031	n/a	n/a	n/a	n/a

5 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Macao volume and share momentum: rolling volume +31% YoY, non-rolling drop +11%, slot/ETG handle +26%, mass GGR share 26.1% (best since Q4-23), slot/ETG revenue +18% vs +9% market, retail tenant sales +10% — all while management says promotional reinvestment is being optimised lower sequentially. structural
- MBS non-gaming pricing power intact: ADR +5.7% to $1,038, RevPAR +6.1% to $994, rooms +5.2%, F&B +9.5%; mall at 99.5% occupancy and $3,318 psf. The suite programme is still monetising. structural
- Capital return stepped up into weakness: $950m buyback at $45.31 (vs Q2 $787m), $5.06bn authorisation remaining, 19% of shares retired since Q4-23, dividend +20% to $0.36/qtr from Q1-27, SCL stake lifted to 75.56%. Diluted share count -6.6% YoY. structural
- Hold at the Londoner (18.6% mass) and MBS (18.7% mass, 4.53% rolling vs 4.6% theo) was adverse; at normalised mass hold we estimate ~$165-215m of additional gross win across the two properties — the single largest reconciling item vs consensus and reversible. one-off
- Macao opex step-up is now in the base: management says fixed costs are flat sequentially and headcount will not rise materially, so operating leverage should return if/when revenue recovers; Macao margin already +325bps QoQ. mixed
- Development expense fell to $37m from $72m and loss on disposal to $4m from $68m; D&A -7.6% — below-the-line GAAP comparisons are getting easier. one-off
- Plaza/Four Seasons rebounded from negative Q2 VIP hold to $85m EBITDA (35.7% margin) with RevPAR +6%; Sands Macao EBITDA +75% on relocated slot capacity — the portfolio re-orientation to premium and base mass is showing in the tails. early

▼ LOWLIGHTS

- The super-premium customer stopped showing up in both markets at once, and management cannot say why. MBS rolling volume -7% YoY, Macao spend per visitor down, July and September singled out as weak. Until Q4 proves otherwise, the 'aberrational' label is an assertion, not evidence. watch
- Group margin -555bps to 34.8% and resort opex up 5.3% YoY (65.4% of revenue vs 60.0%) on falling revenue. Management explicitly refused to revisit Macao staffing; the cost base is sized for a $700m/qtr Macao that is currently printing $529m. structural
- MBS theoretical rolling hold quietly raised to 4.6% from 4.2%, converting what would have been a 'lucky' quarter on the old basis into a 'hold-adjusted' tailwind of +$4m. Hold-adjusted comparisons across periods are no longer like-for-like. governance
- Buybacks (~$950m) plus dividends (~$192m) and SCL purchases (~$101m) ran at ~2.7x our estimated pre-minority FCF (~$460m): cash -$520m to $2.86bn, gross debt +$190m to $15.30bn, net debt ~$12.4bn. Gross leverage ~3.1x on annualised 9M EBITDA (est.) is already at the top of the 2-3x target before any MBS development debt. structural
- Macao market GGR has been contracting for several months per management, with October potentially a fifth consecutive down month (analyst assertion on the call); the Venetian carries ~500 rooms out of service through Q4-27, so the $700m target is effectively a 2028 event. watch
- Effective tax rate 22.5% (vs 15.6%) and interest income -$16m YoY as cash is spent — the mix shift toward Singapore (17% statutory) and lower cash balances structurally compress EPS conversion from EBITDA. structural
- $8bn MBS expansion (opening early 2031) is being committed on the thesis that peak-period super-premium capacity is the constraint; this quarter shows demand from that cohort can disappear for two months with no warning, and fit-out costs are not yet locked. watch

6 FORECAST & OUTLOOK

Guidance bridge. LVS gives no formal guidance; the 'bridge' is management's reiterated targets versus consensus resets. Nothing was cut: the Macao $700m quarterly EBITDA goal, the MBS $2.7-2.8bn annual run-rate, the $8bn MBS expansion (early-2031 opening) and the Venetian reintroduction by CNY 2028 were all reaffirmed, and the capital-return framework was raised (2027 dividend +20%, $5.06bn buyback capacity). The division that moved the numbers is MBS — JPM put its hold-adjusted EBITDA 13-14% below the $680-685m consensus — with Macao a secondary drag from opex. The sell-side responded by trimming rather than rebasing: JPM cut Q4-26 group adj. property EBITDA 4% to $1.26bn and 2027/28 by ~2% to $5.06bn/$5.15bn; BofA, Mizuho, Barclays and JPM cut price targets to $45-54.

MACAO QUARTERLY EBITDA TARGET	MBS ANNUAL EBITDA RUN-RATE	CAPITAL RETURN	STREET Q4-26 ADJ. PROPERTY EBITDA (JPM)
$700m+ (unchanged)	**$2.7-2.8bn (unchanged)**	**Dividend $0.36/qtr from Q1-27 (+20%); $5.06bn buyback remaining**	**$1.26bn**
Q3 actual $529m; 9M run-rate $531m/qtr; path = Venetian refresh (CNY 2028) + market recovery	Q3 actual $590m (annualised $2.36bn); hold-adjusted $594m vs consensus $680-685m	Q3 buyback $950m (Q2 $787m); gross leverage target 2-3x ex development debt	-4% post-print; 2027 $5.06bn / 2028 $5.15bn (-2% each)

Independent view. Our Q4-26 estimate is net revenue of **$3.30-3.40bn** and adj. property EBITDA of **$1.20-1.28bn** (margin ~36-38%), built from Macao **$560-600m** (Golden Week plus NBA Games Week seasonality and a flat fixed-cost base, offset by a contracting market and ~500 Venetian rooms out) and MBS **$640-680m** (mass hold reverting toward 22-23% is worth ~$70-90m of EBITDA on our arithmetic; only partial return of super-premium visitation assumed). That implies FY26 adj. property EBITDA of roughly **$4.85-4.95bn** versus $3.82bn for 9M-25 plus an unverified Q4-25, and Q4-26 adjusted EPS of about **$0.65-0.72** (estimate: EBITDA less ~$345m D&A, ~$85m corporate, ~$165m net interest, ~21% tax, ~$60m minorities, on ~628m diluted shares). The risk to these numbers is skewed down if October's Macao market GGR is indeed a fifth consecutive decline and if MBS high-end visitation did not recover in the Golden Week window. **Margin** should recover sequentially on hold alone but will not regain Q3-25's 40%+ until revenue grows into the Macao cost base. **Leverage direction is up**: with buybacks running ~2x FCF, net debt should climb a further ~$0.5-0.7bn per quarter at the current pace, taking gross leverage above 3x on an LTM basis during 2027 before the $4.57bn MBS delayed-draw term loan is drawn — expect management to lean on the 'ex development debt' definition and the investment-grade rating, and expect the buyback pace to moderate from $950m if EBITDA does not rebound. The structural positives (share gains, non-gaming pricing, shrinking share count, 75.6% SCL ownership) are intact; the structural negative is that earnings are increasingly geared to a few hundred customers' travel decisions, into which the company is adding fixed cost and $8bn of capacity.

What to watch next quarter:

- Q4-26 Macao: whether Golden Week/NBA Games Week and the 26.1% mass share convert into EBITDA >$560m with opex flat QoQ — and whether DICJ market GGR turns positive YoY after several down months.
- MBS mass hold and rolling volume in Q4: mass hold back above 22% and rolling volume >$9bn would validate 'aberrational'; a second quarter of <20% mass hold or rolling <$8.5bn would point to a cohort/behavioural shift.
- Capital return vs leverage: buyback pace vs $950m, cash below $2.5bn, gross debt/LTM EBITDA relative to the 3x ceiling, and any rating-agency commentary ahead of MBS DDTL drawdowns.
- Venetian renovation cadence: rooms out of service (~500 guided through Q4-27), ADR/RevPAR on renovated inventory, and progress on the Conrad-to-Londoner rebrand and botanic-garden commitment in the 2027 capex plan.
- MBS expansion cost discipline: proportion of the $8bn (ex $2bn land premium) locked, fit-out inflation, and timing of government approvals for the early-2031 opening.
- Chinese policy/tax developments affecting offshore wealth and premium outbound travel — the question analysts asked three times and management declined to address.

DATA CONFIDENCE: HIGH All P&L, segment, property, balance-sheet and capital-return figures are taken from the company's Q3-26 release and cross-checked against the SEC 8-K Exhibit 99.1 (identical); QoQ comparatives from the Q2-26 8-K Exhibit 99.1; management commentary from the full call transcript. Reporting currency is USD, so no FX conversion applied (HKD 793m SCL purchase ≈ $101m per company). Items flagged as estimates: hold-adjusted EBITDA aggregation, Macao volume aggregates (sum of property disclosures), gross-win-by-segment (volume × hold), FCF, net debt and leverage (annualised 9M-26 EBITDA), and all Q4-26/FY26 forecasts. Not verified: the official 22 Oct closing price; operating cash flow (10-Q not reviewed); Q4-25 EBITDA (hence no true LTM leverage); Macau DICJ market GGR data (relied on call commentary). Gaming Intelligence article was paywalled beyond its headline; next.io's '62% decline' at the Venetian is a typo for -6.2% per the primary release.

Sources: [Primary] Las Vegas Sands – Q3 2026 results press release (investor.sands.com, 21 Oct 2026) — PRIMARY; [Primary] SEC Form 8-K Exhibit 99.1 – Q3 2026 results (identical to release; used for cross-check) — PRIMARY; [Primary] SEC Form 8-K Exhibit 99.1 – Q2 2026 results (QoQ comparatives) — PRIMARY; [Secondary] Q3 2026 earnings call transcript (Motley Fool, 21 Oct 2026) — management commentary; [Secondary] next.io – 'Las Vegas Sands CEO: When customers don't show up…' (22 Oct 2026) — user-supplied; [Secondary] Gaming Intelligence – 'Las Vegas Sands posts lower revenue and net income for Q3' (22 Oct 2026; paywalled) — user-supplied; [Secondary] Zacks via Yahoo Finance – 'LVS Q3 Earnings & Revenues Miss…' (consensus EPS $0.71, revenue $3.33bn); [Secondary] Benzinga – 'Las Vegas Sands Shares Fall 2.16% After Hours…' (consensus, prior close $37.51, after-hours $36.70); [Secondary] MarketBeat – 'LVS Reaches New 52-Week Low Following Weak Earnings' (intraday low $35.03; consensus EPS $0.68); [Secondary] Investing.com – 'Las Vegas Sands stock hits 52-week low' (22 Oct 2026); [Secondary] Macau Daily Times – 'Brokerages trim LVS forecasts as high-end weakness' (JPM estimate cuts, MBS consensus $680-685m); [Secondary] MarketBeat – 'LVS Price Target Cut to $54 by Mizuho' (analyst PT changes; 22 Oct open $37.47); [Secondary] Investing.com – 'BofA cuts Las Vegas Sands stock price target on Singapore weakness' (PT $45 from $50).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.